

EPHEC

INTERNATIONAL BUSINESS

European Business & Economics (X210)

Spring Term 2024

Part 1

EU Economy I

Hands-on Introductory Guidelines



Chapter 1 : Context

Chapter 2 : Functioning

Chapter 3 : Policy

Chapter 4 : Businesses

Y-D A. DUCOBU

Europe will not be made at once, or according to a single plan. It will be built through concrete achievements which first create a de facto solidarity

Robert Schuman

Expliquez-leur et faites-les aimer l'Europe, ils la comprendront mieux

H. VAN ROMPUY, personal informal exchange on the EU at the Press Club, Brussels



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Many thanks to H. LOUHICHI, M. SAUBOUIN, C. FLORIN and some EPHEC Students for their kind support...

Who are you?

Tell me about...

Introduction...	<i>My name is..., I am from...</i>
Personality...	<i>My passions, my experience in Europe... job, travel, stereotypes...</i>
What is Europe...	<i>A problem, for rich people, too complicated...</i>
The positive aspects...	<i>I am able / allowed to...</i>
The negative aspects...	<i>Because of... I may not / cannot...</i>
Economics is for me...	<i>Not interesting, too abstract...</i>



Based on all the reactions, this class will try to answer your questions as follows

A. Course European Business and Economics (X210)

(No learning by heart neither dates nor statistics, daily life relevance, interactivity, crash course & workshop format, understanding AND explaining the EU Business Environment, **full participation required**, scientific reasoning, critical mind, see MOODLE info, Finals...)



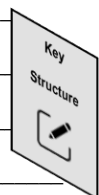
B. Can / should the European Union bring appropriate Solutions ? To answer that question, we will proceed the following way (**Click on numerous WebLinks in your digital-friendly MOODLE Version**) :

EU Context

EU Functioning

EU Policy

Businesses in Europe



Schedule & Course Description X210 (Part 1, STC)

Y-D A. Ducobu, Ph.D.
Spring 2024

Schedule	Structure	Class	Topic	#	I Know...
	Part 1	CLASSES	See CLASS Handout		✓ or ✓
	Ch 1 : Context		EU Idea, Institutional & Substantive Law <i>from Ideas to Institutionalization...</i>	p 6	
Feb 05-09		Class 1	Introduction (Program, Pedagogy, Finals, EU Warm-ups)	p 3	
		Class 2	European Jargon (Workshop)	p 11	
Feb 12-16		Class 3	European Idea in Socio-historical Context (Video)	p 17	
		Class 4	Institutional Triangle (Workshop)	p 20	
Feb 19-23		Class 5	EU Decision-making Process	p 24	
		Class 6	EU Single Market (Workshop)	p 27	
		Class 7	Global Europe & EU Trade Policy	p 28	
			EU Framework : Conclusion, EU everywhere in Business !		
	Ch 2 : Functioning		EU Economic Governance <i>Between Regulation & Liberalization...</i>	p 37	
Feb 26-Ma 01		Class 8	Theories in Economics & Trade (crash course format)	p 38	
		Class 9	Macroeconomic Policy (Key Indicators Workshop)	p 46	
		Class 10	EU Macroeconomic Governance under EMU	p 48	
Mar. 04-08		CARNIVAL			
Mar. 11-15		(Class 11) (ASYN)	FILM & VIDEO/VISIT on EU Governance	p 51	
			Short-Term Policy (Economic Cycle) <i>Between Coordination and Centralization...</i>		
Mar. 18-22		Class 12	Monetary Policy under EMU	p 52	
			Macroprudential Policy	p 54	
Mar. 25-29		Class 13	Fiscal Policy under EMU	p 55	
Apr. 01		EASTER DAYS			
			Long-Term Policy (Economic Structure) <i>Between Liberalization and Cohesion...</i>		
Apr. 2-5		Class 14	EU Structural Policies	p 58	
Apr. 8-12		Class 15	EMU Story : Conclusion in History. Good or not ? Essay.	p 61	
	Ch 3 : Policy		Economic Policies of the EU Integration <i>Between Priority & Credibility...</i>	p 72	
		Class 16	EU Common Agricultural Policy	p 72	
Apr. 15-19		Class 17	From Competition to Industrial Policy	p 74	
		Class 18	From Industrial Policy to EU Circular Economy	p 77	
Apr. 22-26		Class 19	Structural Policy : Conclusion in Budget. Efficient ? Debate.	p 81	
Apr. 29-May 10		SPRING BREAK			
	Ch 4 : Businesses		EMU for Companies & Consumers <i>People, Planet, Profit...Thinking & Feeling Europe...</i>	p 86	
May 13-17		Class 20	Doing Business in / with the EU	p 87	
		Class 21	EMU & YOU (Studies, PPower, Work/Job)	p 91	
		Class 22	EBE Story : EPHEC Citizens' Roundtable, debating Europe	p 93	
			Q & A (Conclusion in Everyday Life + 3rd Year Program)	p 95	
Jun. 2024	Part 2	EXAM	See MOODLE PowerPoint with current News Examples		



PART 1

Chapter 1 : Context



Introduction

European Idea

EU Institutional & Substantive Law

Global Europe

Chapter 1 Context

Warm-ups

Does it ring a bell... ?

Warm-up Activity 1

...Did you know... which « Europe »...

Can you remember : in groups of 2, fill in with the appropriate organization membership

What are the countries in the EU (in blue) ?

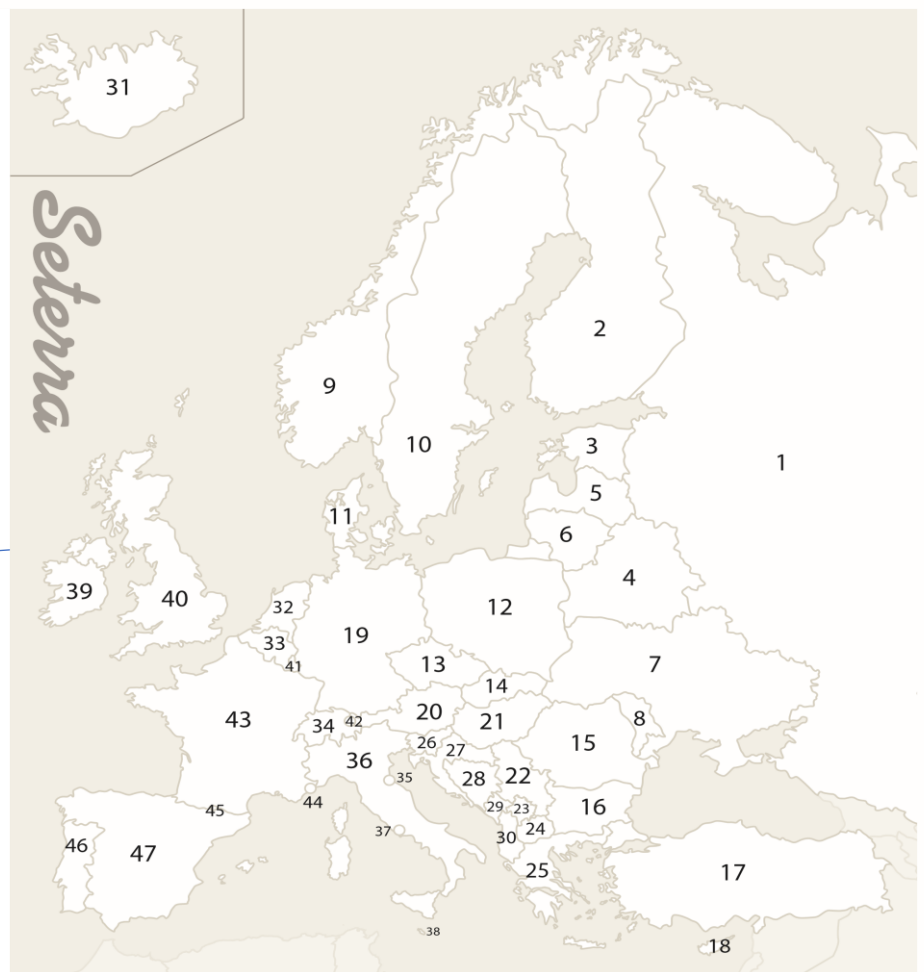
What are the countries in SCHENGEN (in green) ?

What are the countries in the EUROZONE (in yellow) ?

EUROPE | COUNTRIES

1	25
2	26
3	27
4	28
5	29
6	30
7	31
8	32
9	33
10	34
11	35
12	36
13	37
14	38
15	39
16	40
17	41
18	42
19	43
20	44
21	45
22	46
23	47
24	

Visit our site online www.seterra.com/en for more map quizzes.



(from : <https://www.geoguessr.com/seterra/en/pdf/4007>)

Summarize the reasons for the creation of this market. Focus on the **NATURE** / **LEVEL** of integration at stake

What is meant by « integration » ? _____

What is a border ? _____

What is Geopolitics / Geoeconomy ? _____

What is a regional Power ? _____



Follow-up Workshop

Debate in small groups

What are the limits of Europe ? History ? Geography ? Economy ? Religion ?





Warm-up Activity 2

... do you feel concerned...

What does it evoke to you : comment on the following pictures in groups of 2...

Focus Theme	A Feeling of...
1 	
2 	
3 	
4 	
5 	



EU Jargon

Workshop - What do the following Brussels-speak concepts refer to... ?

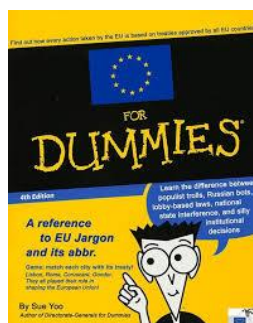
Do you understand : Define & learn the following concepts in groups of 2...

Lexicon	Define & give a concrete example based on Breaking News
1 Global / Local Governance	
2 Governance / Government	
3 Sovereignty / Independence	
4 Nation-State / Borders	
5 National / Supranational	
6 Interstate Relations / Federalism	
7 Free Trade Area / Union	

8 Deepening / Enlarging Relations	
9 Protectionism / Liberalism	
10 Neoliberalism	
11 Nationalization / Privatization	
12 Mutualization / Privatization	
13 Private Interest / Common Good	
14 Centralization / Decentralization	
15 Regulation / Deregulation	

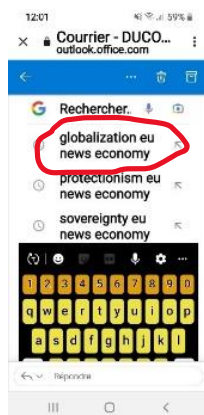
16 Mutual Recognition / Integration	
17 Balance of Power	
18 Soft Power / Regulation	
19 Minority / Unanimity	
20 Free Rider / Win-Win	
21 Critical Mass / Directive	
22 Divide and rule	
23 Social / Economic Integration	
24 Political / Economic Integration	

25 Economic / Monetary Integration	
26 Consumer / Multinational	
27 Lobbyists / Eurocrats	
28 « <i>Brussels</i> » / Citizens	
29 Euroscepticism	
30 ... (<u>YOUR</u> Proposal)	



EU Jargon

Workshop – Illustrate this from the current EU News... brainstorming in groups...



Use your Mobile not to chat !!!



Concept 1 :

Illustration 1 :

Concept 2 :

Illustration 2 :

Concept 3 :

Illustration 3 :



European Idea

European Idea in Socio-historical Context

Europe : from WWII to Today's EU...(Introductory Video)



**Click on Picture
for VIDEO**

(from : <https://www.youtube.com/watch?v=xRwZyDTdCAc> , 2012, VIKING Lectures SERIES, 23 : 57)

Watch this subtitled VIDEO and Make notes (Events, Celebrities, Anecdotes you like...)

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European Idea

When a Dream came true...theorizing an Idea...

A. EU Ideological Background : an original Model...analytical perspective...

1. The European Idea: historical & geopolitical perspective, a heritage...

- Fall & Rise of Great Empires (power politics, already an old Idea, Carolus Magnus)
- OEEC/1948, NATO/1949, Council of Europe/1949 (Yalta/1945 Post-war European Order)
- Korean War/1950, Suez Crisis/1956 (ideological Cold War background new threat of wars)
- International Geopolitical Power Shift (the United States for / in / of Europe, Truman Doctrine/Containment...and Europe in all this...)

2. The European Idea: sociological perspective, a necessity...

- Depressions and Wars background (Need to pacify/stabilize/reconstruct)
- Treaty of Versailles (doomed peace and post-war humiliation)
- Need to pull down barriers/cooperate/integrate as much as possible (Jean MONNET, Founding Father of Europe, pantheonized)

3. The European Idea: political and / or economic perspective, a dilemma...

- The "SCHUMAN" PLAN/ECSC/1951 (Coal & Steel no longer for war but for peace...and control...)
- The French PLEVEN PLAN/EDC/1952-1954 (tentative deep integration)
- The MESSINA Conference/1955 (from failure to new start)
- The EEC-EURATOM Treaties/1957 (economic integration easier to begin with)

[illegible]

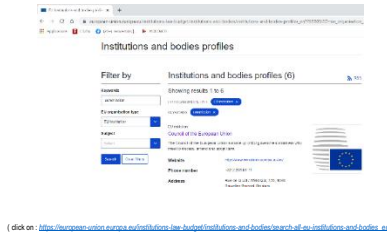
4. Europe is not only the “*European Union*”: Unity in Diversity, Diversity in Unity...

- EU Border Issue (who is IN, who is OUT)
- Companies and Citizens in Europe (THE Institutions or THE Peoples)
- Stress tests for the EU Project (from EEC to EU)
- The limits of the European Idea (National preference, concept of solidarity, Maastricht criteria interpretations, posted workers...)

This image shows a single sheet of white paper with horizontal blue ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

EU Institutions Workshop

Institutional Triangle (alone)...institutionalizing an Idea...



Your **EU Institution** and make notes (Headquarters, Presidency, Members, key Takeaways...)

[illegible]

EU Institutions Workshop

Institutional Triangle (group presentations)...institutionalizing an Idea...



The other **EU Institutions** and make notes, please 😊 (Headquarters, Presidency, role...)

EU Commission (Group 1) _____

EU Parliament (Group 2) _____

EU Council / ≠ European Council ≠ Council of Europe (Group 3) _____

EU ECB (Group 4) _____

EU Court of Justice (Group 5) _____

Who's Who in Negotiations ? _____





Institutional and Substantive Law in the EU

Institutional Triangle...Institutionizing an Idea...

An original Model...analytical perspective...

1. An Institutional Triangle for an original Global Business Model
(Main official institutions, Crash course on basic functioning, EUROGROUP, ECOFIN...)

2. Europe is not only the European Institutions
(Citizens, Multinationals, Unions, Lobbyists, Agencies...)

3. The role of the State
(Return of the State, policy mix, soft power, shared power diffusion...)

4. The role of the Economy
(Financialization of the economies, social aspects needed, economic diplomacy...)

5. New relations “State” (local/regional/supranational) & “Private Actors” (Multinationals...)
(Rethinking the role of the public authority in the economy)

Institutional and Substantive Law in the EU

Workshop EU Institutions...Implementing an Idea...What does Europe do for us...

Sectors (free from MFF 2021-2027)	Objectives (For Whom ?)
Climate Action & Agriculture	
Health & Cohesion	
Economy & Finance	
Business & Consumption	
Industry & Machinery	
HighTech & Digital Age	
Justice, Security & Defence	
Migration & Border Management	
External Action	
...	

Example explained _____

Institutional and Substantive Law in the European Union

Legal Framework & EU Decision-making Process ...Organizing an Idea...

Click on Concepts
for WebLink



[Primary Law](#) _____

[Treaty on European Union \(Consolidated Version\)](#) _____

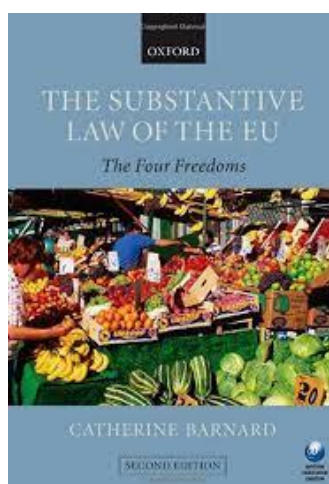
Treaty on the Functioning of the European Union (Consolidated Version)

Secondary Law

EU Legislation by Sector :

Customs Union ≠ Common Market ≠ Single Market ≠ Economic & Monetary Union (=EMU)

Ordinary Legislative Procedure (OLP)



(an example)

Interlude

Institutional and Substantive Law in the EU...



(from : <https://www.gisreportsonline.com/r/free-europes-economy/>)

Institutional and Substantive Law in the EU

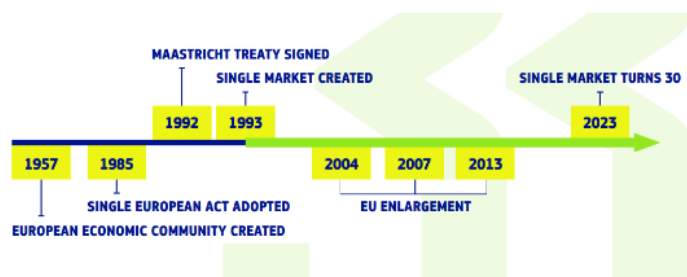
The Single Market and You



Click on Picture
for VIDEO

EU Single Market prepares to celebrate its 30th Birthday (introductory VIDEO)

Watch this subtitled VIDEO and Make notes ([Single Market](#) , [4 Freedoms](#) , ...)



EU Single Market & New Global Players

Global Europe

Europe in a Fragmented World (Introductory READING, to be collected...maybe...)

Class Activity, Text on current Issues



(see MOODLE for copy)

Read the following Text and summarize (what is Europe in the World, Economic Outlook...)

This image shows a single sheet of white paper with horizontal ruling lines. The lines are evenly spaced and run across the width of the page. There are no margins, text, or other markings on the paper.

Global Europe

New Paradigms...new Actors...new Strategies...



International (economic) Relations / Globalization _____

What is Geopolitics / Geoeconomy ? _____

World Strategies & Global Players _____

Liberalization / regulation _____



Single Market & EU Economy

a long-awaited Reaction in Europe...

Recent Global Economic Context: New Paradigms

1. International Firms in the 60s: EU response
(From internationalization to globalization, necessity to create EU champions, EU industrial policy revisited, first difficulties and crises...)

2. Liberalization and Deregulation in the 80s: EU response
(Financialization of the economies, growing competition, new productive models, privatizations, regional & social growing disparities...Single Market completion...)

3. Rise of [trading blocs](#) or economic powers in the world: USA, Europe, Japan...or the BRICS...
(New technologies, new actors, China/WTO/2001, Global Firms, global supply chain ...)

4. Globalization between Megatrend & Multipolarity: EU response in a changing world
(New cross-border threats, new Public/Private Partnerships, return of some protectionism and national reshoring, DEglobalization, REglobalization, friendshoring...)

5. Macroeconomic Transformations & Evolutions: the EU...to be updated...
(Trading partners, IDE/Portfolio investments, EURO, inflation, welfare, new indicators...)

EU Economy & Trade

EU Trade Policy



(from : <https://www.consilium.europa.eu/en/policies/trade-policy/trade-agreements/>)

Global Trade : the EU Trade Policy and Global Gateway (Workshop Format)

Surf on Internet to gather data on Global Europe & fill in with key Takeaways
(<https://www.consilium.europa.eu/en/infographics/the-eu-s-role-in-global-trade/>)

EU Trade : Key Takeaways

EU & World Trade : Key Takeaways

EU Trade Agreements (TTIP, CETA, EU-MERCOSUR...) : Key Takeaways

EU Trade Tools (CCT, Instruments...)

Global Europe Workshop



Research Activity...Find Texts/ Articles illustrating the following perspectives...



(from : <https://www.consilium.europa.eu/en/policies/trade-policy/trade-agreements/>)

EU in the World is weak but _____

EU in the World is strong if _____

The advantages of the Single market for Companies _____

The advantages of the Single Market for Consumers _____

Economic Outlook for the year _____

The future possible SuperPower Blocs _____



(from : <https://www.amchameu.eu/transatlantic>)

Single Market Workshop



More Liberalism or Protectionism in the EU, Debate Format in small groups of 5 Students each

Arguments for _____

Arguments against _____

The Europe we want... the Europe we need...



Interlude

Global Europe...



(from : <https://www.economist.com/europe/2023/07/19/a-split-in-brussels-pits-an-open-vision-of-europe-against-an-insular-one>)

PART 1

Chapter 2 : Functioning



Theories in Economics & Trade

Macroeconomic Governance under EMU

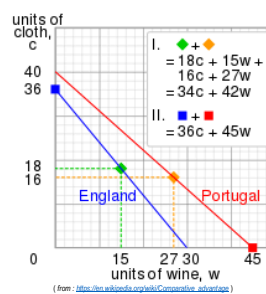
EU Economic Governance

Between Regulation & Liberalization...

Theories in International Economics & Trade

What does the economic theory say... crash course format...

1. International Economics: D. RICARDO / A. SMITH / KEYNES vs *Laissez-Faire...*
(some Theories in International Economics / Theories of State)



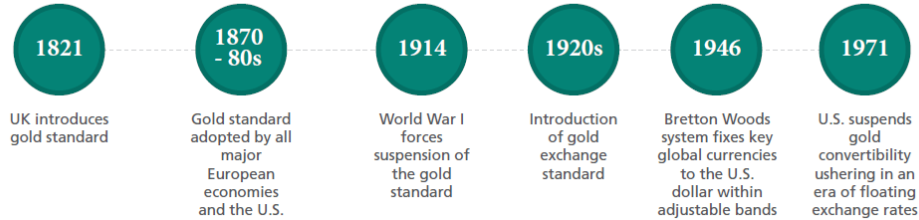
2. International Economics: Liberalism in International Trade
(Theories of International Trade)

Free Trade Area	Customs Union	Single Market
- No tariffs between members - No external tariff (checks on country of origin) - Can negotiate own trade deals	- No tariffs. - No border checks - Common external tariff - Trade deals for whole customs union	- No tariffs - Common external tariff - Freedom of movement goods and people - Common rules and regulations

(from: <https://www.economicshelp.org/blog/glossary/trading-blocks-pros-and-cons/>)

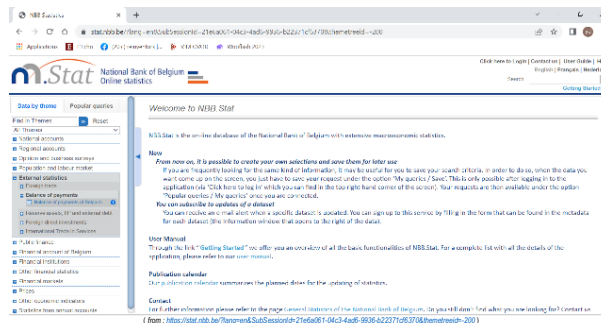
3. International Economics: Exchange Rate Mechanism (Theories of International Trade)

EVOLUTION OF CURRENCY REGIMES

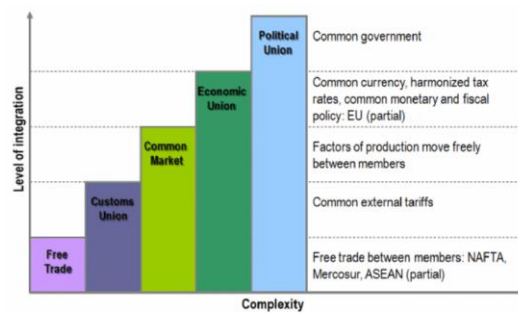


(From : <https://www.pimco.com/gbl/en/resources/education/understanding-currencies>)

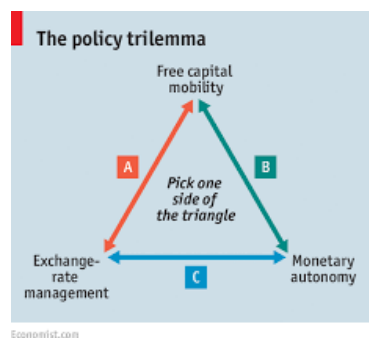
4. International Economics: Balance of Payment (Theories of International Trade)



5. International Economics: B. BALASSA (Theories of Integration)



6. International Economics: MUNDELL's Theory Optimal Currency Area (Theory of Incompatibility Triangle)



(from : <https://www.economist.com/schools-brief/2016/08/27/two-out-of-three-aint-bad>)

Illustrations of those theories in Current Issues

What does reality say...

1. Current Global Business Issue: Multinational Companies & Europe, Inc.

2. Current Global Business Issue: EU and international Trade Agreements

3. Current Global Business Issue: US Inflation Reduction Act

4. Current Global Business Issue: New Silk Road & China

5. Global Business Issue: Breaking News illustrating the Theory very concretely

Macroeconomic Fundamentals



Economy vs Economics (Micro & Macro) / Watch VIDEO

Economic Policy (Short-Term/Conjunctural vs Long-Term Policy)

Macroeconomic Indicators : Variables, Aggregates, Statistical Relationships, Eco Cycles, Asymmetric Shocks

Macro-economic Policy : Objectives vs Instruments

Real choices ... ?	
Unbalanced problems...	...contradictory Objectives
Growth-friendly...	...but non-inflationary...and...
Job Market... with less unemployment...	...and well-paid...
Price Stability...	...and fear of inflation...
Balance of Payment...	...but fear of Deficit...
Expansionary...	...or contractionary...
...	...

National vs European Economy (supranationality, federal competences...)

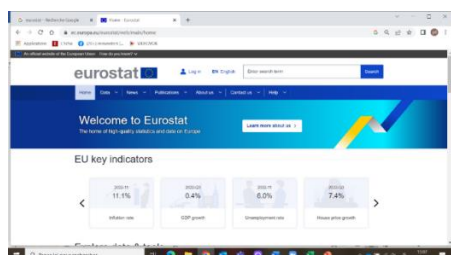
Mechanisms & Multi-Level Governance (consequences in power-sharing perspective...)



(1) EU (2) Macroeconomic (3) Governance (4) under EMU (= 4 notions to link !!!!)

Where to find information to check...

Official Sources & References



(from : <https://ec.europa.eu/eurostat/web/main/home>)



(from : <https://www.oecd.org/economic-outlook/june-2023/>)

Official Websites & Scientific Literature

News (Economic Press, Special reports, Economic Outlook...)

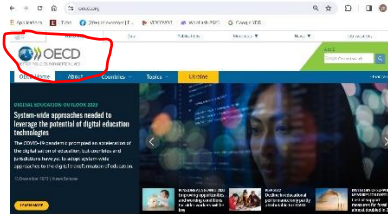
Where to update? See Sources ACERTA, UCM, FEB, STATBEL, <https://stat.nbb.be/?lang=fr> , EUROSTAT...



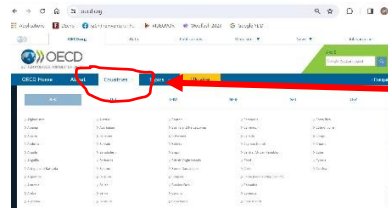
Using & Interpreting Macroeconomic Indicators

Using those references as a Country Analysis Tool (alone)...ready for the Macroeconomic Workshop...

STEP 1 : Click on OECD.org HOMEPAGE



STEP 2 : Click on Your Country

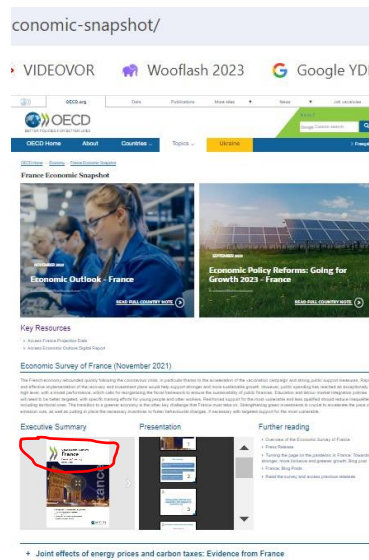


(from : <https://www.oecd.org/>)

STEP 3 : Click HERE for Report



STEP 4 : Click HERE for Report & Browse



Macroeconomic Workshop...

1 Europe but 27 different economies though...

1. Deliverable: Class Assignment, Quick Reference Guide (factsheet, 1 page, never by heart !)
2. Modalities: Workshop on EU macroeconomic scoreboard
Make groups of 5 students to focus on ONE EU country (Country Analysis, type [OECD.org](https://www.oecd.org/))

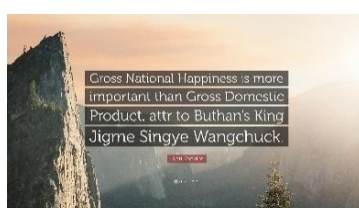
Main Indicators (Quick overview, Trends)

Macroeconomic Policy: Instruments & Objectives (inflation, growth, taxes, trade...)

Some hypotheses accounting for the situation, benchmark other models...

Venturing some possible solutions (focus on competitiveness, social standards...)

Stress Tests for the EMU policies in Europe: an *appropriate* macroeconomic governance?



[illegible]

Country 2 _____

Country 3 _____

EU Macroeconomic Governance under EMU



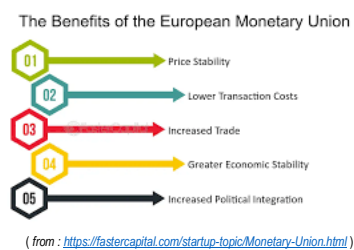
Governance (EU [macroeconomic governance](#), EU governance, Corporate governance, ≠ Regulation)

National / European Governance (See Graph comparing National & EU Level on p 43)

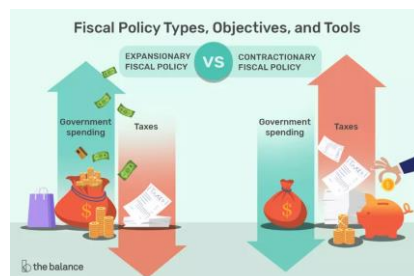
[EU Governance](#) & Treaty of Lisbon (*Exclusive* vs *Shared* Competences)

Governance Mechanisms (Institutions, Supervision, Prevention, Correction, Sanction)

EU **Monetary** Policy (= EURO...)



EU **Fiscal** Policy (= Budget...)



(from : <https://www.thebalancemoney.com/what-is-fiscal-policy-types-objectives-and-tools-3305844>)

Dynamics of the EU Macroeconomic Governance

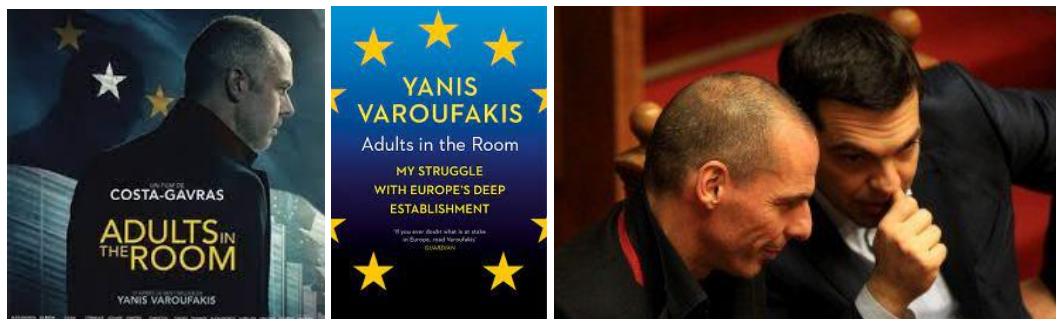
How does it work together

[illegible]

(from: https://economy-finance.ec.europa.eu/economic-and-fiscal-governance/economic-governance-review_en)
(from: <https://openstax.org/r/institute-commission-on-economic-and-fiscal-policy> and <https://www.theatlantic.com/what-is-fiscal-policy-again-should-we-and-how-3005944>)

FILM/VISIT on Macroeconomic Governance under EMU

Develop a critical Mind in European Business & Economics



1. Suggested Pedagogical Material: “Adults in the Room” (Motion Picture)

Adults in the Room (Greek: *Ενήλικοι στην αίθουσα*, romanized: *Enílikoi stin aithousa*) is a 2019 French-Greek political film directed by Costa-Gavras. It is based on the book *Adults in the Room: My Battle with Europe's Deep Establishment* by Yanis Varoufakis about the 2015 Greek bailout. It is Gavras' first feature film that was shot in Greece.

In 2015, following Syriza's victory in the 2015 Greek legislative election, Minister of Finance Yánis Varoufákis is tasked by Prime Minister Aléxis Tsípras to negotiate a new deal on the memorandum of understanding signed by previous government with the Troika in order to avoid facing another inevitable debt crisis in the country months later. However, throughout successive meetings of the Eurogroup, Varoufákis's proposals are only met with flat refusals from the Troika. With constant threats from the European institution of an eviction of Greece from the Eurozone if their demands are not met, Greek PM Aléxis Tsípras is forced to sign the MoU, going against the 62% of the population that rejected the bailouts by voting "No" in the 2015 Greek bailout referendum. Yánis Varoufákis then resigned, five months after taking the office.

(See Trailer Web Link on Internet <https://www.youtube.com/watch?v=OHRr06hkmyA> , 2:04)

2. How far does this Film/Visit/Activity contribute to better understand the EU Governance ?

Monetary Policy under EMU



Currency Regimes (floating, fixed,...)

Exchange Rate Systems

Fixed Exchange Rate

- Advantages

- Minimizes International Trade/Investment Risk
 - Elimination of Destabilizing Speculation
 - Requires Discipline in Economic Management
- Disadvantages**
- Large holdings of foreign reserves are required
 - Fixed rates can also be unstable (devalue/revalue)
 - Loss of Freedom in terms of Internal Policy (interest rates)
 - Countries are vulnerable (and dependent) on the economic conditions of other countries

Floating Exchange Rate

- Advantages

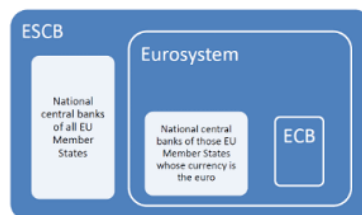
- Countries are more protected from the economic conditions of foreign countries
 - Central Bank interventions are not needed
 - Freedom in internal operations
- **Disadvantages**
- Promotes currency speculation
 - Exchange Rate Risk
 - Investors and MNCs must spend considerable resources to protect against
 - Inflation

(from : <http://librairie.stimaru.com/direct/SASSEM%20ECONOMY.htm>, reference to the archive rules consider the following statement : Under the first sentence of Economic Affairs

EURO as Solution but... _____

Single Currency (What is Money, Money vs Economy, Methods of Payments, « EURO », digital currency...)

Treaty of Maastricht & Eurosystem & Eurozone (ESBC / ECB / EcoFin / EuroGroup /Watch VIDEO)



(from : <https://www.oenb.at/en/About-Us/Tasks/the-oenb-in-the-eurosystem.html>)

Eurozone Liquidity (Impact on Businesses)

ECB rates / Interbank Markets

Interest Rates (impact on Businesses)

ECB rates

for companies (investments....)

for consumers (bank loans, ...)

Exchange Rates (impact on Businesses)

Devaluation / depreciation	
Winners	Losers
• Exporters • Domestic tourist industry • Workers gaining jobs in export industry • Economic growth might increase • Current account deficit should improve	• Consumers who buy imports • Residents who holiday abroad • Firms who buy imported raw materials • Those on fixed incomes/wages who see inflation rise faster • Foreign exporters/tourist industry

(from : <https://www.economicshelp.org/blog/437/trade/effects-of-falling-exchange-rates/>)

for exports

for Imports

for travellers



Financial, Capital, Banking Union

Methods of Payments in the EU _____

European Central Bank (ECB)



Watch this VIDEO and Make notes (Presidency, role....)

Macroprudential Policy



Supervisory Bodies & Mechanisms

Monitoring

Surveillance

Sanction

Short-Term Policy (economic Cycle)

Between Coordination & Centralization

Fiscal Policy under EMU

Introductory Reading...Coordination required...

Sound public finances are the cornerstone of a stability-oriented monetary union. The EU Member States therefore set out fiscal rules in the Maastricht Treaty and subsequently augmented them with the Stability and Growth Pact. The Maastricht Treaty specifies reference values for the general government sector of the various EU Member States: 3% of gross domestic product (GDP) for the government deficit and 60% of GDP for government debt (the Maastricht criteria). The general government fiscal balance equates to the difference between the revenue and expenditure of the government sector as a whole. If expenditure in a given period exceeds revenue, the result is a negative balance (deficit). Correspondingly, if income exceeds expenditure, this produces a positive balance (surplus).

Government debt as defined in the Maastricht Treaty is a gross figure. This means that no government assets are offset when calculating the debt level. Under the excessive deficit procedure, EU Member States are obliged to submit data on the general government deficit and debt level to the European Commission (Maastricht notification) twice a year (end of March and end of September). These data are checked and published by Eurostat. In Germany, the data for past years to be reported for the general government sector are compiled by the Federal Statistical Office (deficit) and the Bundesbank (debt). In addition, the Federal Ministry of Finance provides estimates for the current year. The Federal Statistical Office is responsible for transmitting the data to the European Commission. The methodological principles as well as the precise compilation of Maastricht debt in Germany are described in more detail in a Bundesbank Monthly Report article.

(from <https://www.bundesbank.de/en/statistics/public-finance/maastricht-deficit-and-debt-level/maastricht-deficit-and-debt-level-793140>)

What do we understand by “ problems of **Coordination** “ ?

Give other examples in the “ **Macroeconomic Agenda** ” of your country / another country

Fiscal Policy under EMU



Fiscal Policy & Treaty of Maastricht

EMU & Social Union (« EURO » vs the « Economy », Cohesion...)

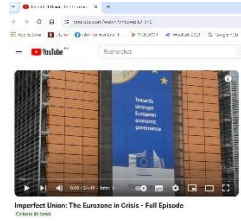
Tax and Spending in the EU (Exclusive/Shared Competences)

Coordination vs Centralization (some independence, some centralization...)

Surveillance, Harmonization, Sanction

Mechanisms (Stability & Growth Pact / European Semester/...)

EU Fiscal Policy under EMU (VIDEO)



Watch this VIDEO and Make notes (....)

VIDEO « *Imperfect Union : the Eurozone* » (2013, Great Decisions, FPA, 24:49)

Click on : <https://www.youtube.com/watch?v=LpwpliU-5n0>

Tax and Spending in the EU (Exclusive/Shared Competences)

EU Institutions & Fiscal Policy : Who's Who ?



Highlights Eurogroup Europe LIVE (01:59 ; March 13, 2023)

from : <https://newsroom.consilium.europa.eu/events/20230313-eurogroup-meeting-march-2023/139157-highlights-eurogroup-20230313>



Long-Term Policy (Economic Structure)

Between Liberalization and Cohesion...

EU Structural Policies

Short-term (conjunctural) vs Structural Policies

Introduction to the next Chapter, « Ch 3 Policy »





EVENTS & COUNTRY (concepts, actors, stakes, strategies)

Click on Picture
for Weblink



Interlude

Macroeconomic Governance under EMU...



(from: <https://www.economist.com/europe/2021/05/01/the-european-commission-is-becoming-more-powerful-quietly>)

EMU Story : Conclusion in History

Good or not ?
Essay.



Periodization & Logical Continuation

History & Story

Has it been good for Companies and Customers so far (= our analytical perspective) ?



EMU in historical Perspective

A Single Currency Unit in your everyday Life...why...

Landmark Event as turning Point: Post-War Era (1945 – 1957)

1. Reconstructing the economies in the world would bring peace and stability
(Equation: Economic Crises + Depressions + Protectionism = Wars...)

2. New international cooperations even integrations: just a question of goodwill or not...
(Is it easier/necessary to integrate politically, military, economically first....)

3. Institutionalization of a new International Economic Relation System: stabilizing & liberalizing
(Bretton-Woods Agreements/1944, GATT Agreements/1947...)

4. A Response in / for Europe: the Marshall Plan (1947)
(a US "invitation" to unite in Europe...but some dependence feared...)

5. A Response in Europe: just a free-trade zone ... or a deeper cooperation?
(ECSC/1951, EEC & EURATOM/1957, CAP/1962, Common Market/1968, the Werner Plan/1971 for financial integration project but...)

Landmark Event as turning Point: Nixon Shock (1971)

6. US Dollar, Europe's Problem
(Vietnam and huge US BP Deficit, end of the Golden Sixties...)

7. EU response to the crisis
(European Currency Snake, 1972 then better the European Monetary System / ECU, 1979)

8. Danger of economic instability in the world
(Oil Crisis and period of crisis in the 70s, competitive intentional devaluations....)

Landmark Event as turning Point: Thatcher & Reagan Era (1980s)

9. Consequences of Economic & Financial instability
(The State is not the solution but the problem ...)

10. EU Response: Integration based on more liberalization or regulation...
(The Delors Report/1988, future EMU in phases outlined/Single Market completion/ EMI-ECB/Coins & Notes, waiting for the moment to make things easier...)

Landmark Event as turning Point: Fall of the Berlin Wall (1989)

11. Negotiation stalemate but an opportunity is there though...
(Fear of a *Grossdeutschland* and desire to keep the *Deutsche Mark* in Germany...)

12. Mitterrand & Kohl's "implicit" Deal: Reunification against Euro

13. Great opportunities expected but...
(Asymmetric shocks feared, compensations expected & conditions for success...)

Landmark Event as turning Point: the Maastricht Treaty (1992)

14. Necessity to have a deeper & better political integration for the EMU
(Cold War over, from a Common Market to a Union, Currency changeover detailed ...)

15. Necessity to have more economic AND monetary AND social convergences
(from "ECU" to "EURO"/1995, European Stability and Growth Pact, 1997)

16. Necessity to have an *appropriate* monetary intervention: ECB/ESCB/EUROSISTEM
(...but role limited, based on the *Bundesbank*/1999 German model)
-
-
-

17. EMU completion: a Single Currency Unit
(1999 first in non-tangible form / book entries only...and finally...)
-
-
-

Landmark Event as turning Point: EURO Coins & Notes (2002)

18. Some countries joined the Club: more confidence in the European Project?
(Maastricht criteria, debatable EURO eligibility...including Italy...and even Greece...)
-
-
-

19. EURO Stress Tests: a problem of sovereignty...
(Farewell failed Constitution/2005 & “quickly” Long Live Lisbon/2009... structural reforms *because of or thanks to* the EU...but a looming crisis...)
-
-
-

Landmark Event as turning Point: Banking & Financial Crisis (2008)

20. Stress Test 1: Necessity to have a better control of the system
(from banking to social crises, the limits of liberalization, banking supervision...)
-
-
-

21. Greek Crisis & European Sovereign Debt Crisis
(from 2009 until the late 2010s, German "NEIN", Troika's "MoU", Ireland...)

22. ECB to stabilize the eurozone as signal of credibility...for the markets...
(European Stability Mechanism/ 2012, ECB Mario Draghi/July 26, 2012 "*whatever it takes*", but bank bailouts or economic growth.....)

23. Impact of Structural policies: the choice of Austerity?
(Greece, Ireland, southern Europe, Romania... UK...referendum 2016 BREXIT with 51,8%)

Landmark Event as turning Point: the COVID-19 Crisis (2020)

24. Stress Test 2: Necessity to rethink global productive models in lockdown context
(From healthcare austerity to Solidarity Funds/2020, more mutualized debts in the future?)

25. EU Integration in Post-Pandemic Era: back to some Supranationalism?

Landmark Event as turning Point: RUSSIA-UKRAINE WAR (2022)

26. Stress Test 3: Necessity to restore economic independence in an Energy crisis context (Oil & Gas issues, new transition models needed...)
-
-
-

27. EU Economic resilience: back to some Protectionism?
-
-
-

Conclusion of the EMU Process: Impacts for Consumers & Companies...

28. A historical perspective allows focus on recurring problems & suggests constant adaptations (Avoiding problems we have already had...)
-
-
-

29. A better coordination is key to any EMU success story (a simple common practical interest, back to “*Monnet Method*” ...)
-
-
-

30. Necessity to balance positive & negative aspects for all economic actors (“*Brussels*”, Governments, MNCs, investors, bankers, “*PTB*”, “*Ecolo*”, consumers...)
-
-
-



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Interlude

Macroeconomic Governance under EMU...



(from : <http://cartoonmovement.com/cartoon/european-economy-2/>)

PART 1

Chapter 3 : Policy



Economic Policies of the EU Integration

EU Budget

Chapter 3 Policy

Economic Policies of the EU Integration

Between Priority & Credibility...

EU Common Agricultural Policy



Workshop EU & You (Introductory FIELD RESEARCH)

Interview someone about Agriculture some years ago (Grand-Parents, Farmers, Cattle-Breeders...)

Standards of Living _____

Click on Picture
for VIDEO



Objectives _____

Productivity _____

Modernization _____



EU Common Agricultural Policy

Reforming the structure...



DG AGRI

New Common Agricultural Policy (CAP)

From Scarcety to Butter Mountains / Wine Lakes

Structural Reforms

Mechanisms (Aids, conditions ...)

New Paradigms (Climate Action, Green Deal, Circular Economy, ...)

Consequences for Businesses (strategy, Investments ...)

From Competition to Industrial Policy

Reforming the structure...



Competition Policy ([DG COMP](#)) _____

Competition Distorsions vs Single Market _____

Full Market opening _____

No preferential Treatments _____

Abuse of Dominant Position _____

Anti-Trust Rules _____

Exceptions _____

The other **CASES** and make notes (Sector, M & A, against EU Law...) / Small Groups

RYANAIR (Group 1) _____

MICROSOFT (Group 2) _____

APPLE (Group 3) _____

SIEMENS / ALSTHOM (Group 4) _____

MISCELLANEOUS (Group 5) _____

From Industrial Policy to EU Circular Economy

Reforming the Structure...



Industrial Policy ([DG GROW](#)) _____

Internal Market, Industry, Entrepreneurship & SMEs _____

Industrial Competitiveness & Big EU Champions _____

Reforms (Lisbon Strategy, Action plans....) _____

Industrial Sovereignty & « Made in Europe » _____

Incubator Europe ? _____

Balance Competition Policy / Industrial Policy _____

New Paradigms (VUCA World, ESG Requirements...) _____

New Focal Points for Policies (Green Deal, Circular Economy, RePower Europe, New Industrial Strategy ...) _____



(from : <https://www.epc.eu/en/Publications/A-renewed-start-for-Europe-4-takeaways-from-the-EU's-New-Industrial-S-3062cc>)

Industrial Policy Workshop

Debate (small group debates)

Is Reshoring good for the European Economy ? / ALONE / written preparation



Example 1 _____

Who ? _____

Why ? _____

How ? _____

Example 2 _____

Who ? _____

Why ? _____

How ? _____



From : <https://www.buinesseurope.eu/policies/industrial-policy>

Structural Policy Workshop

Reforming the Structure...how...



Liberalization in Europe (Agriculture, Competition, Industry, Environment...)...but... _____

More liberalization or more deregulation or more regulation ? _____

<i>Real choice ... necessity...?</i>	
<i>Trade Liberalization</i>	<i>e.g. ...</i>
<i>Liberalization of the Financial & Banking Sectors</i>	<i>e.g. ...</i>
<i>Liberalization of Aviation Markets</i>	<i>e.g. ...</i>
<i>Rail Liberalization</i>	<i>e.g. ...</i>
<i>Liberalization of the Postal Services</i>	<i>e.g. ...</i>
<i>Liberalization of the Energy Sectors</i>	<i>e.g. ...</i>
<i>Agriculture Liberalization</i>	<i>e.g. ...</i>
<i>Liberalization of Healthcare Services</i>	<i>e.g. ...</i>
<i>Labor Service Liberalization</i>	
<i>...</i>	<i>...</i>

Is this good for Companies and for Consumers...debate... introduction to our next Chapter



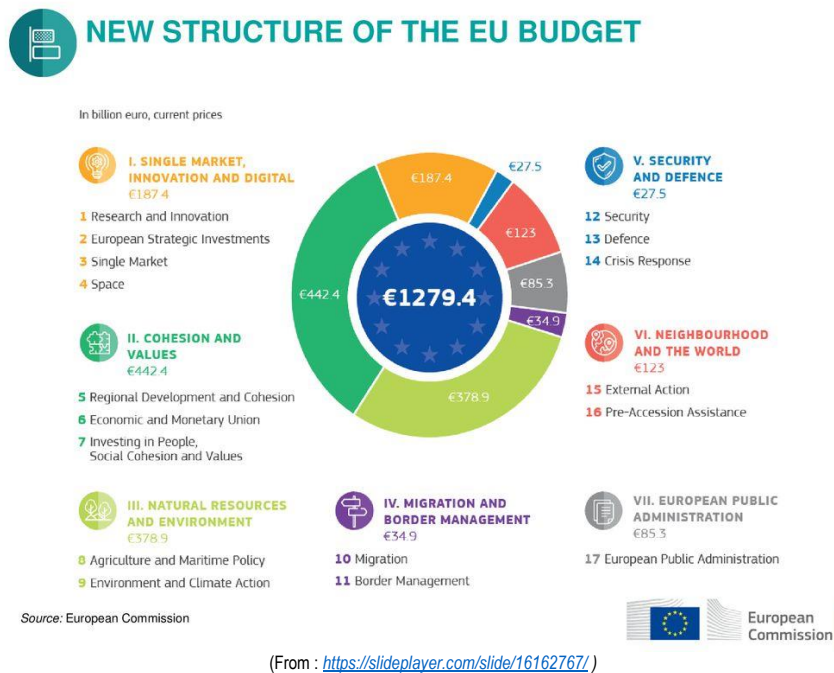
Conclusion in EU Budget

Reforming the Structure...efficiently...



Conclusion in Budget (has all this been efficient ?) _____

Financial Framework



Discuss the priorities _____

[illegible]

Interlude

Liberalization in Europe... ?



From : <https://www.chappell.com/forimages/employment-in-europe>

PART 1

Chapter 4 : Businesses



EMU for Companies & Consumers

Conclusion in Everyday Life

Chapter 4 Businesses

EMU for Companies & Consumers

People, Planet, Profit...Thinking & Feeling Europe...

Doing Business in / with the EU

Companies: Workshop on Business Climate...Critical Reading...

Companies in the EU: [BusinessEurope](https://www.bes-europe.eu/)

BusinessEurope is the leading advocate for growth and competitiveness at European level, standing up for companies across the continent and campaigning on the issues that most influence their performance. A recognised social partner, we speak for all-sized enterprises in 35 European countries whose national business federations are our direct members.

The organisation is headquartered in Brussels at the heart of the EU institutions. We work on behalf of our member federations to ensure that the voice of business is heard in European policy-making. We interact regularly with the European Parliament, Commission and Council as well as other stakeholders in the policy community. We also represent European business in the international arena, ensuring that Europe remains globally competitive.

After the European elections in May 2019, the start of the new European Commission marks the beginning of a new political cycle for the EU in 2019-2024. Given the numerous external and internal challenges, this is a crucial moment for the European Union. It is more urgent than ever to define an ambitious agenda for the future and come up with the right solutions in areas where the EU can deliver concrete benefits, such as the Single Market, the common currency, the common trade policy, competition policy or innovation.

A strong economy is the prerequisite to be able to build a fair and sustainable Europe. Faced with an increasingly challenging economic outlook, strengthening Europe's economy is therefore more urgent than ever. Companies, as main creators of jobs and growth, have a central role to play. Achieving environmental and social goals largely depends on their success. However, European companies will only be able to fully play their role in society and set an example for the rest of the world if the competitiveness and economic sustainability of our system can be proven.

(from : <https://www.bes-europe.eu/mission-and-priorities>)

Doing Business in / with the EU

Companies: Workshop on Business Climate...Critical Reading...

Companies in the EU: *European Trade Union Federation* ([ETUC](#))

On 23 February 2022, the European Commission finally proposed draft legislation on Corporate Sustainability Due Diligence. Despite some interesting features, it falls far short of what is needed to protect human rights and the environment.

It particularly falls short on the concrete involvement of workers and trade unions in shaping and monitoring sustainable business due diligence strategies, aimed at preventing or ceasing adverse impacts on human rights and the environment.

A strong directive on Sustainable Corporate Due Diligence is desperately needed at a time of [rising](#) human rights violations including abuse of labour and trade union rights by major European companies.

Instead, some 238 days after the Commission was scheduled to present the directive, the draft proposal raises real concerns that it delivers much too little to impulse the necessary behavioural changes in business to effectively address and prevent violations of human rights and damage to the environment.

Workers and trade unions rights are Human Rights that business should comply with.

EU Human Rights Due Diligence should provide for effective measures to stop anti trade union practices and to stop violations of workers and trade unions rights.

EU Human Rights Due Diligence is the only way to hold business accountable for the impacts on people and the planet.

To recall, the ETUC key demands on mandatory Human Rights due diligence and responsible business conduct as adopted at the Executive Committee Meeting of 17-18 December 2019 (...)

(from : <https://www.etuc.org/en/time-effectively-act-human-rights-due-diligence-and-responsible-business-conduct>)

According to BusinessEurope and ETUC, is Europe a Problem or the Solution ? / ALONE / written preparation



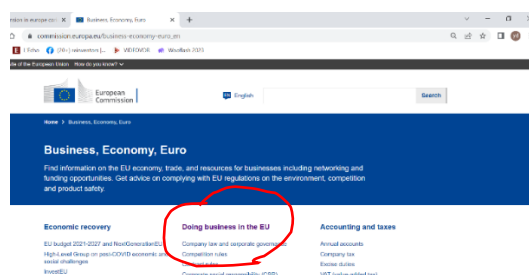
Doing Business in / with the EU

Companies in the EU ... Threats or Opportunities...

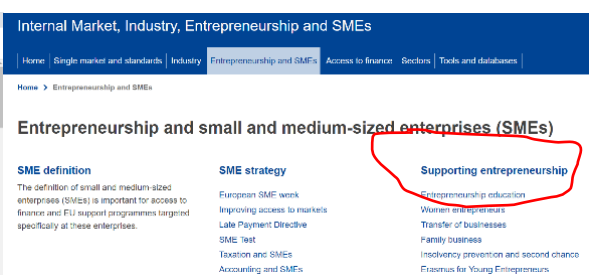
Rethinking Business Models (EU Value Chain, rethinking Corporate Governance....)

Doing Business in / with the EU (Business Climate in Europe, « EU PESTEL »)

Trade with non-EU Countries



(from : https://single-market-economy.ec.europa.eu/smes_en)



(from : https://commission.europa.eu/business-economy-euro_en)



Doing Business in / with the EU

Companies: Workshop on Business Opportunities...



EU Economy & Your Studies / Job _____

EPHEC
European Business & Economics
11.00 – 11.45

Where is Europe ?			
In daily News	In a Business	In my Country	In the World
Examples :			

Where is Europe ?			
Financial Analysis	M IntL Payments	IntL Strategies	« TP2X »
Examples :			

Where is Europe ?			
Management	EU Affairs & Lobbying	Global Supply Chain	Emerging Markets
Examples :			

Where is Europe in Business ? _____



EMU & YOU

Consumers: Workshop on Consumers' Satisfaction...introductory Reading...



Consumers in the EU: European Consumer Organization ([BEUC](https://www.beuc.eu))

BEUC is the umbrella group for 46 independent consumer organisations from 32 countries. Our main role is to represent them to the EU institutions and defend the interests of European consumers. Our acronym originates from our French name, 'Bureau Européen des Unions de Consommateurs'. Our daily work involves making sure the EU takes policy decisions that improve the lives of consumers. This covers a range of topics including competition, consumer rights, digital rights, energy, redress and enforcement, financial services, food, health, safety, sustainability and trade policy.

The BEUC secretariat is in Brussels and has a staff of around 45. We aim to make consumers confident in the European Single Market. To ensure this confidence, we strive for protection and choice as drivers of consumer markets. This means giving people access to impartial information, allowing them to have enforceable rights and to be aware of these rights, and providing redress options they can use when something goes wrong. Consumer policy has addressed many challenges over the decades. Some remain today: unfair treatment, rip-offs, products that fall short of expectations or that are outright dangerous. New challenges have arisen too: the climate crisis, medicines becoming less available and affordable and the rise of artificial intelligence. Well thought-out EU policies are needed to address these challenges and improve the quality of life of current and future generations.

(from : <https://www.beuc.eu/about-beuc/who-we-are>)

What can we do to protect the consumers in Europe? / ALONE / written preparation



EMU & YOU

Workshop on “Living Europe”...



Rethinking our Society (EU Value, rethinking Work-Life Balance....) _____

Protecting « Consumer-Actors » _____

Rethinking Gross National Happiness _____



Question: How should we reform...Where to start...then you will understand a budget and some priorities...

Discuss the priorities _____

Does the EU protect & respect your priorities in Life, you as Consumer-Actor ? _____



EBE Story : Over to (E)U !

Debating Europe



EPHEC Citizens' Panels on the Future of Europe: Debating Europe...

Brainstorm Ideas / What would You change in Europe ? _____



Discuss those proposals in groups _____



EPHEC Students' Action Plan (to submit for the oral exam) _____





Click on Picture
for WebLink

A graphic titled "ECONOMY BRIEF" in bold yellow letters on a purple background. It features a large yellow star and a small "PewResearch" logo in the top right corner. The graphic is tilted and has a white shadow.

General Conclusion in Everyday Life

« European Business & Economics » (X210)

Y-D A. DUCOBU, Ph.D. / Office 233 by appointment only / yd.ducobu@ephec.be

Spring Term 2024

Philosophy & Pedagogy _____

Course Objectives _____

Main Takeaways _____

« MEDLEY EBE Pictures » _____



Ch 1 Context _____

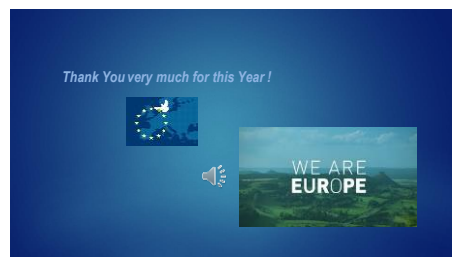
Ch 2 Functioning _____

Ch 3 Policy _____

Ch 4 Businesses _____

Finals & Next Year _____

Your Question _____



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WEBLINK :

https://commission.europa.eu/index_en , <https://ec.europa.eu/eurostat> , <https://www.ecb.europa.eu/home/html/index.en.html>
<https://www.imf.org/en/Home> , <https://www.oecd.org/economic-outlook/november-2022/>

DAILY PRESS : L'ECHO

PERSONAL INTERVIEWS :

- MAYSTADT, Philippe, Belgian Minister of Finance 1988-1998 (on the EURO in Belgium)
- VAN ROMPUY, Herman, President of EU Council 2009-2014 (on the EMU)
- WUNSCH, Pierre, Governor of the BNB Central Bank 2019-... (Fulbright Eat & Meet on Belgian Economy)

